

Audit Risk Assessment

Crestwood Logistics Partners, LLC · AUD-TBS001 · 10 Points · Estimated time: 25 minutes

EXHIBIT 1 — CLIENT BACKGROUND

Crestwood Logistics Partners, LLC

You are an audit manager at Yoshimi & Associates, LLP, conducting the year-end audit of Crestwood Logistics Partners, LLC (Crestwood), a privately held regional freight and last-mile delivery company operating across nine states in the Southeast. This is the firm's third year auditing Crestwood.

During the planning phase, you obtained the following data through preliminary analytical procedures and inquiries with senior management:

Revenue (current yr)	\$112.7M	Revenue (prior yr)	\$79.4M
Operating margin (current)	6.1%	Operating margin (prior)	13.8%
A/R days outstanding	81 days	Industry average	44 days
Fuel cost % of revenue	29.4%	Prior year fuel %	17.2%

Additional facts: (1) The Controller left in October; financial statement close is now handled by a staff accountant with two years of experience. (2) Crestwood's revolving credit facility requires maintaining a debt-to-EBITDA ratio below 4.0x; the current estimated ratio is 3.8x. (3) The company launched a same-day drone delivery pilot programme in Q3, generating 24% of current-year revenue. (4) Revenue from drone deliveries is recorded upon dispatch rather than upon confirmed receipt, and reconciliation between the dispatch log and billing system is performed monthly rather than daily.

TASK 1 OF 3

For each risk factor, identify the most appropriate risk category from the options provided.

Options: IR - FS Level | IR - Assertion Level | Control Risk | Fraud Risk | Going Concern Risk

Risk Factor	Your Answer
Controller departure; staff accountant now manages financial close	
Monthly (not daily) reconciliation between dispatch log and billing system	
Operating margin compressed from 13.8% to 6.1% without clear explanation	
Debt-to-EBITDA ratio sits 0.2x below the covenant ceiling	
42% revenue surge driven by an untested drone delivery programme	

TASK 2 OF 3

Select ALL financial statement assertions most at risk for the revenue account. (Select all that apply.)

- ☐ (A) Cut-off — revenue is recognised in the correct accounting period
- ☐ (B) Occurrence — recorded revenues relate to transactions that actually took place
- ☐ (C) Completeness — all revenues that should be recorded have been included
- ☐ (D) Classification — revenues are presented in the appropriate financial statement line

☐ (E) Accuracy — revenues are recorded at the correct monetary amounts

TASK 3 OF 3

For each audit planning decision, select the most appropriate auditor response.

Q1. Planning Decision	Risk Driver
Overall materiality threshold	Elevated inherent risk; tight debt covenant

- ☐ (A) Lower
☐ (B) Maintain at prior-year level
☐ (C) Raise

Q2. Planning Decision	Risk Driver
Substantive testing approach for revenue	Dispatch-based recognition; monthly reconciliation gap

- ☐ (A) Rely on prior-year substantive results
☐ (B) Expand sample sizes; perform cut-off procedures around year-end dispatch records
☐ (C) Reduce testing scope; increase reliance on internal controls

Q3. Planning Decision	Risk Driver
Engagement of a specialist	Drone delivery programme — novel technology

- ☐ (A) No specialist required; use management's documentation
☐ (B) Defer specialist assessment to next year's audit
☐ (C) Engage a technology or valuation specialist

Q4. Planning Decision	Risk Driver
Accounts receivable audit procedures	A/R days = 81 vs. industry avg 44

- ☐ (A) Perform analytical procedures only
☐ (B) Broaden confirmation coverage; scrutinise allowance for doubtful accounts
☐ (C) Limit testing to top 10 balances by dollar value